Gran Canaria Holiday Rental Supply & Pricing Analysis (2019–2026)

Project Aim & Objectives

The aim of this project was to examine the short-term holiday rental market on the island of Gran Canaria. I was curious to see how this has changed over time, and specifically if recent changes in local laws had a visible effect on these numbers. I also wanted to compare how different municipalities on the island compare to one another.

Initially, I planned to use AirBnB data, but it is not publicly available for Gran Canaria. Instead, I found an official dataset from ISTAC (Instituto Canario de Estadística) focusing on holiday rentals (excluding traditional hotels). This data allowed me to define my core research question:

How have platform-observed home holiday-rental supply, reservation rates, and average daily rates (ADR) changed in Gran Canaria across its different municipalities from 2019 onward, and are there visible changes after recent law changes took effect?

The Regulatory Context

The timeline of this study covers two changes in the Canarian law[1] regulating new holiday rental licences (Vivienda Vacacional / VV):
1. April 2025: A new rule required a community of property owners (comunidad de propietarios) to reach a 60% majority vote to approve any new holiday rental applications in their buildings or complexes.
2. December 2025: The parliament passed a new law (Ley 6/2025, de 10 de diciembre) that completely stopped new holiday rental license applications from being submitted.

Dataset & Metric Definitions

The dataset[2] ranges from January 2019 to August 2026, providing a monthly view of the market.

According to official ISTAC Methodology[3] the big data was obtained from files containing listings of properties offered on the main digital booking platforms, with monthly and daily data. Only data on properties marketed as whole properties (not single rooms) and which have been available during the reference month are taken into account. Holiday property was considered to have been available if it had been booked at least once during the reference month or the previous month. To clarify, the properties examined are the ones with the VV licence (Vivienda Vacacional - a certificate needed to be able to rent a property) but it is not including the count of all of them.

Out of all the metrics available in the dataset, I focused on three main indicators:

- Available holiday homes (supply):

The number of holiday homes available to provide paid short-stay accommodation on any day during the reference period. A holiday home is considered available if it has been booked at least once during the reference month or the previous month.

- Reservation rate (‘occupancy’):

The percentage of booked holiday homes out of the total number of available holiday homes.

- Average daily rate (pricing):

Average daily revenue (ADR) generated per accommodation unit (room, flat, holiday home, etc.) occupied during the reference period. This refers to revenue received for the provision of accommodation services, excluding any other services that the accommodation may offer.

Core Findings & Insights

1. Available Homes (Supply Trends)

Looking at Figure 1 charts (see Selected Charts document), we can observe a clear drop in available homes in 2020 due to the COVID-19 pandemic. Once borders reopened and travel resumed, there was a steady, positive Year-over-Year (YoY) increase for a few years. However, the trend changed recently. The YoY growth started slowing down and turned negative in October 2025, reaching a multi-year low in June 2026.

When comparing individual municipalities, the high-density tourist areas show an interesting variation:

In San Bartolomé de Tirajana (the main tourist hub in the south), the YoY supply growth turned negative in the middle of 2025 (with only one month after with positive change, Feb 26). This correlates with the April 2025 law requiring community voting, which impacted southern apartment complexes, see Figure 2.

In Las Palmas de Gran Canaria (the urban capital), the supply did not drop until early 2026, right after the absolute suspension on new licenses took effect in December 2025.

Overall there is a very similar trend evident in all 21 municipalities of the island. Smaller rural areas like Artenara show high graphical variation (fluctuating between 15 and 33 homes), but this is simply due to a very small sample size rather than volatile market shifts.

My Analysis: The supply drop in 2026 could be linked to the new ban. Because new licenses cannot be issued, any property that stops renting, is sold, or has its license expire is never replaced. However, there is not enough evidence to claim that this was the only, or main reason. Additionally, booking platforms have become much stricter, purging old listings that do not display a valid, verified VV license number. This could be another factor that contributed to the decline of available homes. More detailed listing-level data would be needed to determine why supply fell. In this dataset, an “available home” is a whole-home listing that was booked at least once during the reference month or the previous month. The measure therefore reflects homes meeting that booking-based definition, not a direct count of all active VV licences.

2. Reservation Rates (Occupancy)

The reservation rate (Fig. 4) tends to remain consistently high with regular seasonal ups and downs. Outside of the major 2020 pandemic drop, it has been steady. The only unusual anomaly was a sharp, unexpected drop in May 2026, which would require further data to explain.

3. Average Daily Rate (Pricing Anomaly)

The daily rate graph, Fig. 5, provided the most surprising insight. Normally, when supply goes down, prices go up due to competition. Furthermore, the tourism industry has seen significant inflation globally.

However, the data shows that after peaking at €177 in January 2025, the average daily rate across Gran Canaria began dropping steadily, crossing into negative YoY change by September 2025.

My Hypothesis: This downward pricing trend suggests that demand-side factors could be at play. Travelers could likely have become highly price-sensitive due to the rising costs of living and travelling which are both flights and accommodation. To maintain their high reservation rates, hosts could be forced to lower their daily rates or accept last-minute bookings at a discount.

4. Deeper analysis of municipalities

To analyze each municipality in deeper detail, I created a custom heatmap matrix showing the YoY percentage change of available homes for every single month, alongside a side-by-side bar chart tracking both available homes and daily rates simultaneously.

The heatmap matrix (Fig. 6) is incredibly helpful because it provides a bird's-eye view, allowing you to instantly see the exact timing and degree of the supply shift across different regions and specific months. Meanwhile, the bar charts (Fig. 7) allow you to examine a specific month and contrast the two metrics (YoY change in available homes and daily rates) across all municipalities at once. For instance, when looking at the final data slice from August 2026 (comparing it to August 2025), the visual layout makes it immediately evident that 100% of the island's municipalities are experiencing a simultaneous drop in both available houses and daily rates.

Data Limitations

Due to how ISTAC defines the metrics, this analysis has a few restrictions:

1. Active vs. Total Licenses: The data does not show the total number of physical VV licenses issued on the island. Because a house must have a booking within a rolling 60-day window to appear in the data, a drop in supply could mean properties are leaving the market, or it could simply mean they failed to get a booking in that specific timeframe.

2. Booking Density Gaps: The reservation rate is a binary indicator (booked vs. unbooked in a two-month period). It does not tell us the exact frequency of bookings or the average length of stay within a single month, which would help explain the falling prices more deeply.

3. ADR Aggregation Blindspots: The Average Daily Rate (ADR) calculation merges data across all property sizes—combining properties that hold 1–4 people, 5–8 people, or over 8 people into a single average. ISTAC's official methodology does not provide the exact breakdown or weighting of this calculation, which makes it harder to isolate if pricing drops are happening evenly across all property types.

Methods & Tools Used

1. Data Cleaning & Transformation (ETL)

The raw data downloaded from ISTAC was well-organized but required formatting to be useful for reporting:

- I converted the layout from a wide format to a long format (unpivoting the columns) so all data fields aligned correctly.
- Because I was using a standard version of Excel that limited large file conversions, I utilized AI prompts to format the text files into clean CSV schemas before database ingestion.

2. SQL Analysis (PostgreSQL)

To ensure no data was missing and to structure the metrics, I imported the data into PostgreSQL. I wrote SQL scripts utilizing Common Table Expressions (CTEs), Multi-Table Joins, and Window Functions (such as LAG) to calculate the chronological transitions and verify the numbers. (Selected scripts are attached in the project folder).

3. Reporting & Visualization (Power BI)

I imported the cleaned tables from PostgreSQL into Power BI Desktop. To make time-based analysis possible, I created a dedicated Calendar Table and established a relationship with the main data table. This calendar layer was crucial for writing accurate Year-over-Year (YoY) calculations.

To make the report easy to use, I included time-series lines for the historical view, a heatmap matrix to easily spot monthly changes across all 21 municipalities, and bar charts to compare dynamic metrics side-by-side.

Project Deliverables & Dashboard Interaction

Although the official ISTAC repository already provides public tables and graphs, I found their web portal clunky and difficult to navigate for deeper investigations. Most importantly, their interface completely lacked calculated Year-over-Year (YoY) percentage changes,

which are essential to filter out seasonal noise. Building this model allowed me to generate these vital historical trend comparisons independently.

Key visual trend lines and cross-municipal matrix example output are archived in the supplementary document: Project 1 – Selected Charts.

The complete interactive dashboard is available for review in the source semantic model file: Project 1 – Holiday Homes Rentals in Gran Canaria.pbix. The reporting engine is designed for deep-dive exploration; users can dynamically filter historical market metrics across the entire island of Gran Canaria or slice individual municipal performance on the first three pages, or isolate specific monthly periods on the final page of the report canvas.

References & Statutory Baselines

1. Statutory Regulatory Framework (Canarias): *Ley 6/2025, de 10 de diciembre, de Ordenación Sostenible del Uso Turístico de Viviendas* (Jefatura del Estado, BOE-A-2025-26358 / BOC núm. 246). https://www.boe.es/eli/es-cn/l/2025/12/10/6/con

2. Core Statistical Repository: *Instituto Canario de Estadística (ISTAC) – Encuesta de Alojamiento Turístico: Series mensuales y anuales sobre viviendas vacacionales en los municipios e islas de Canarias (2019-2026)*.
2.1. Viviendas vacacionales, plazas, tasas de ocupación, estancia media e ingresos. Islas y municipios de Canarias por periodos:
https://www3.gobiernodecanarias.org/istac/statistical-visualizer/visualizer/data.html?permalink=17kkj2n96id97weq1jel7pyhc6
2.2. Tarifa media diaria según intervalos de plazas alojativas. Islas y municipios de Canarias por periodos:
https://www3.gobiernodecanarias.org/istac/statistical-visualizer/visualizer/data.html?permalink=10f6lymdhadumvsg1rodf8b63

3. Methodological Blueprint: *ISTAC – Metodología de la Estadística Experimental de Vivienda Vacacional (Julio 2024)*.
https://www.gobiernodecanarias.org/istac/descargas/C00065A/metodologia-de-la-estadistica-experimental-de-vivienda-vacacional.pdf